Response: Development of an Artificial Intelligence (AI) Action Plan

3/15/2025

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In 2024, I served on Wisconsin's Legislative Council Study Committee on the Regulation of Artificial Intelligence in Wisconsin. During the 6 months on the committee, we heard testimony from over 20 individuals and collected feedback from several businesses and organization. In addition, I am on the board of the Technology Council of North America and participate in their Legislative Committee. However, this paper does not represent any of these organizations. Rather, the experience gained from my current CEO position, my board positions, and my education informs the guiding principles being put forward in this paper.

1. **AI regulation should be completed at a federal level**

   Similar to regulations around data security, we are already starting to see a patchwork of laws governing AI created at a state level. In 2024, Colorado passed the first AI regulation in the United States. Other states including California, Utah, Connecticut and others are also now considering AI regulation. The challenge with this approach is that software is developed once and deployed nationally. When each state creates their own laws, it makes compliance extremely difficult, especially for cutting edge startups who do not have large compliance teams. As a result, regulation at a federal level would actually enable innovation and make compliance much simpler and thus less expensive.

   With that said, it is already recognized that the Colorado law requires additional work to be a model for the US. Additional critical discussions are needed related to liability and enforcement. For example, it is necessary to set guidelines on who is responsible for the impact of AI (developer, deployer, or user).

2. **Investments in AI innovation are needed outside the typical tech hubs**

   Based on a 2023 Brookings report, 60% of AI roles are concentrated in just 10 cities. Market dynamics will favor those cities with a head start in AI development. However, for the United

States to remain globally competitive, we need the brain power of all cities. Additionally, future innovations will come at the intersection of domain expertise and AI. This domain knowledge is spread across the country in areas as diverse as energy exploration to healthcare innovation. The US needs to build capacity in our local universities and technical colleges to assist employers obtain the necessary skills to augment current offerings through AI. Finally, AI in manufacturing will be critical to drive our manufacturing renaissance in the center of the US.

3. **Incentives needed to drive adoption of AI and automation by small and medium sized (SME)**
According to McKinsey, SMEs the United States are only half as productive as large companies, compared with 60 percent in other advanced economies. Narrowing the productivity gap, which is equivalent to 5.4 percent of the US GDP, is particularly vital in an era of shifting global production. There are several ways to incentivize this investment from "jumpstart" investment dollars which provide partial matching (example $.5 on $1). Another is to incentivize through tax credits, similar to the R&D tax credits. If done in conjunction with technical assistance in hubs across the country, we could help organizations adopt AI technology at a faster pace.

4. **Incentivize employers early career training and invest in reskilling**
Early indicators of the impacts of AI on jobs are that it will quickly replace entry level positions. Tech has been an early adopter of AI, and we can expect the trends to replicate in other areas of the economy. For example, today ChatGPT is being used to generating 25% of code, entry level computer programmer roles are disappearing, affecting both recent grads of both college and bootcamp programs. For example, the Washington Post just published a report that stated that 1 in 4 programming jobs has disappeared. However, these entry positions are important on-ramps to careers. Therefore, we need to find ways to uplevel entry positions. One example of this is to create co-development opportunities while the students are in college which are funded as a private/public partnership. Public investment would be used to balance the normal market forces which incentivize employers to hire more experienced talent.

5. **Develop better data sources to inform workforce planning.**
With the likelihood that at least 30% of roles will see 50% or more of their tasks automated through GenAI (Brookings 2024), it is critical that we have better data to help employers, educators, and talent upskill productively. To do this, we need to refine our current Bureau of Labor Statistics (BLS) to be task focused vs. job focused. This would allow us to be more surgical in our approach to workforce planning. Ideally, we'd have a national AI-driven workforce information system which created bi-directional value with employers. The system would both help predict workforce changes based on the implementation of AI into specific process and create a closed loop AI system where the employers return actual workforce changes to help continue to refine the predictive model.

6. **Address the Rural-Urban Divide**

During testimony to Wisconsin's AI committee, it became clear that we need to help ensure that both rural and urban areas are able to leverage AI in the public sector. For example, small counties or hospitals will not have the requisite data and skills to improve productivity through AI. Therefore, we should encourage the development of public sector shared services so that both urban and rural areas can benefit from the promise of AI. This not only reduces costs and improves services but would also help address rural workforce shortages. For example, in law enforcement you could reduce the time spent on non-citizen facing tasks, such as documentation of arrests, etc.

7. **Establish a Standing Committee on AI in the Legislature**
   Given the rapid evolution of AI technology, it is recommended that a standing committee of the legislature be formed to focus on all issues related to AI. A combination of legislative representatives, government employees, and industry advisors could ensure:
   a. Collaborative work across states. This may include licensing, regulation, etc.
   b. Ongoing landscape analysis to identify new international risks and opportunities.
      i. For example, in the book, The Coming Wave, author and industry insider, Mustafa Suleyman creates a case for the need for AI regulation as the technology becomes increasingly sophisticated and powerful to ensure that the technology is used for good. As a general-purpose technology that is essentially available to everyone, there must be protections put in place to help ensure our safety. Some of the recommendations include educating our workforce, limiting development to licensed organizations, and requiring audits of the technology for bias.

Conclusion These recommendations aim to create a balanced and forward-thinking approach to AI legislation. While each of these concepts was only introduced briefly, I'd be happy to have a deeper discussion on any individual item.

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